

complaint

Mr and Mrs K have complained about the decision made by Ageas Insurance Limited in relation to their claim for damage caused by an escape of water at their property.

background

In January 2013 Mr and Mrs K made a claim under their landlords' policy with Ageas following damage caused by an escape of water at their property. The property was not let to a tenant at the time – in fact, it had not been tenanted since August 2012 as Mr and Mrs K had decided to undertake decorating work in advance of selling the property.

The escape of water occurred at some point between 1 and 18 January 2013 and when Mr and Mrs K came to make their claim it was declined on the basis that the escape of water cover was excluded because the property was unoccupied for the purposes of the policy. Ageas highlighted the following exclusion from escape of water cover:

“Escape of water.....

Excluding

a) Loss or damage when the Buildings are Unoccupied for 30 days or more...”

It noted that unoccupancy is defined elsewhere in the policy as meaning when the property is not lived in by a tenant. As it was not disputed that there had been no tenant in the property since August 2012, Ageas said that the exclusion applied and there was no cover in place for the claim.

Mr and Mrs K complained about this decision. They explained that the property had not been unoccupied in the general sense – and certainly not for more than 30 days - because they had been visiting the property at weekends in order to undertake the decoration works. As this generally involved an overnight stay - they would take beds and cooking equipment with them - they did not think it was fair for Ageas to cite the policy definition of unoccupied as meaning that a tenant was not at the property and that occupancy as owners should count.

Moreover, Mr and Mrs K were not satisfied that the fact that only a tenant could be considered as occupying the property for the purposes of the policy had been sufficiently brought to their attention. They felt that this should have been clearer on the face of the policy “key facts” document and that the policy wording should reflect that the exclusion applied if the policy was “untenanted”.

One of our adjudicators reviewed the complaint but he did not recommend that it should be upheld. He concluded that for the purposes of the unoccupancy definition under the policy, the property was unoccupied at the time of the damage. He further explained that, having considered the arrangements in place in order to undertake decorating work, this did not persuade him that the property was “lived in” in the everyday sense. In relation to whether or not the exclusion had been sufficiently highlighted to Mr and Mrs K, he explained that as the cover in place was a landlords' policy, he did not consider that occupancy constituting the property being tenanted was unusual or unreasonable.

Ageas also noted that, had it been notified that the property was untenanted, it would have restricted the cover in place further. Moreover, it highlighted the term in the key facts document that, in the event of the property being unoccupied or a tenant being away for

14 days or more between 1 November and 31 March, the heating should be drained or maintained at a certain temperature or escape of water cover would be excluded.

As an agreement could not be reached amongst the parties, this case was passed to me for my consideration.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

There is no dispute that Mr and Mrs K's property was damaged by an insured event - an escape of water. The question for me to decide is whether the circumstances at the time of the claim mean that an exclusion for escape of water claims applies.

The exclusion applies if the property is unoccupied for 30 days or more. There had not been a tenant living at the property since August 2012 and as the policy defines unoccupancy as meaning "*when it is not lived in by a Tenant*", on the strict policy terms, the escape of water cover at that time was excluded.

Mr and Mrs K have said that the decision to decline the claim is unfair as it unreasonably restricts occupancy to the question of whether the property is tenanted. I am not persuaded that this is the case. This is a landlords' insurance policy and, as such, the cover in place is tailored to a tenanted property and I do not consider this to be unusual or unreasonable.

Mr and Mrs K have commented that the exclusion and its reference to occupancy by tenants should have been more particularly highlighted to them. I should note at this point that Mr and Mrs K's policy was purchased via a broker. However, as this complaint concerns the decision made by Ageas as the underlying insurer and by reference to the policy terms in place, I am not able to consider the broker's actions at the point of sale of the policy as part of this complaint.

I have noted Mr and Mrs K's comments and the evidence that they have provided to demonstrate that they were visiting the property regularly to undertake decorating works and that the property was, therefore, not unoccupied. However, even if I were of the opinion that the definition of unoccupancy requiring occupancy by a tenant was unfair, I am not persuaded that Mr and Mrs K's visits to the property would constitute occupancy. The approach of this service is that occupancy should involve the undertaking of everyday activities on a regular basis, such that a property is considered in the ordinary sense to be lived in. I am not satisfied that this is the case if a property is not a primary residence but is visited periodically for the purposes of decorating works in preparation for sale.

Mr and Mrs K have raised the fact that they used the legal expenses cover on their insurance policy to evict their tenant and, therefore, Ageas should have been aware that the property was untenanted. However, the tenant being evicted did not necessarily mean that the property would not be re-let or that Ageas should have assumed as much. At the point of policy renewal in November 2012, the policy schedule reflects that the property was tenanted, even though this was not the case. It is not unusual and Ageas has demonstrated to this service that, had it known this, it would have restricted the cover on the policy.

Moreover, it has pointed out that it is a general condition of the policy – and set out in the key facts document – that if the tenants are going to be away from the property for more

than 14 days between November and March, certain steps should be taken or escape of water cover will be excluded. This is not unusual and, even if Mr and Mrs K's stays at the property are considered occupancy, would exclude cover for their claim.

I do understand Mr and Mrs K's frustration that they believed they had complied with the terms of their insurance cover and that the decision to decline their claim is, therefore, unfair. However, for the reasons given above, I am unable to conclude that the policy terms are unfair or that they have been unreasonably applied by Ageas in the circumstances.

my final decision

For the reasons given above, my final decision is that I do not uphold this complaint. I make no award against Ageas Insurance Limited.

Helene Pantelli
ombudsman